

Rising inflation will also lead to an increase in the cost of borrowing for the government. Bhanumurthy expects government expenditure to shoot up against the budgeted numbers. Even though the RBI has not increased the interest rate to tame inflation, he believes that the government securities market has already factored in the increase in inflation irrespective of any RBI action. India's benchmark 10-year government securities rose to a three-year high of 7 per cent as on April 12, 2022. "This increase in the government bond yield means the cost of government borrowing will increase, which will lead to an increase in interest payments as happened in the current year's Budget. Under the expenditure component this year, the interest payment component had risen by ₹3 lakh crore because of soaring inflation," says Bhanumurthy.

A sharp spike in WPI, which is dominated by raw materials and intermediate goods, to a 30-year peak of 12.96 per cent in FY22 unravels India Inc.'s struggle with soaring input prices. This March, semi-finished steel, textiles, basic metals, chemicals, rubber and vegetable oils witnessed wholesale inflation of 12-26 per cent. Plus, any potential hike in interest rates by the RBI will lead to an increase in borrowing costs, eating into companies' profitability. Amid a sagging economy and slackening demand, manufacturers find it difficult to pass on the spike in input cost to customers, which can erode their profitability.

Of course, some pass-through of price rise has indeed taken place, resulting in the surge in retail inflation in March. Even a recent CRISIL report said that corporate profitability, or the average Ebitda margin, may have dropped by 200-300 basis points (bps) YoY and 40-60 bps sequentially in the fourth quarter of FY22. According to the report, this trend may exacerbate in the coming quarters unless inflationary pressures abate. However, India Inc. witnessed historic corporate profits in FY21, so much so that the corporate profit share in India's GDP hit a 10-year high of 3.11 per cent in FY21.



"Inflation implies the prices of goods will go up, which then yield more indirect taxes; and there is more profitability, which yields higher income taxes"

SUBHASH CHANDRA GARG
FORMER FINANCE SECRETARY



"The government is quite aggressive when it comes to subsidies on fertilisers. Now, because of inching up inflation, the government will have to spend more on fertiliser subsidy allocations"

MADAN SABNAVIS
CHIEF ECONOMIST, BANK OF BARODA



"Two-thirds of India's population is part of the unorganised sector where salaries are not indexed to inflation. So, that will eat away their household budgets and erode their real wages"

N.R. BHANUMURTHY
VICE CHANCELLOR, BR AMBEDKAR SCHOOL OF ECONOMICS UNIVERSITY

Sabnavis says that in Q3FY22, some corporates had started passing on higher input costs to consumers. "Now, the question is, will they have a second round of increase, which will show in very good results in terms of corporate profitability for the fourth quarter," he adds. But Garg sees inflation and commodity prices impacting different companies differently due to the interplay of input prices they face and their output prices. Amidst all this, he expects some corporates to stay put and some may even get their margins squeezed.

The biggest impact of inflation is on the middle-income- and lower-middle-income households. Between March 2021 and March 2022, food & beverage inflation rose from 5.24 per cent to 7.47 per cent, whereas oil and fat prices spiked 18.79 per cent in the same period. This is the highest price rise among the food basket items used to measure the consumer food price inflation.

"The middle class has a fixed budget and spends more on food items, therefore they may have to cut back on savings or discretionary expenditure. In the lower-income groups, consumption will get tightened even further because they typically spend more money on food items. And that could create problems in terms of overall growth and consumption," says Sabnavis.

The bigger danger is that higher prices tend to erode the value of real wages and savings. CRISIL said in a note: "We estimate the rural bottom 20 per cent and middle 60 per cent of the income segments faced the highest inflation at 7.7 per cent. In urban areas, the bottom 20 per cent also faced higher inflation than other income segments. However, the burden was slightly less than their rural counterparts given the sharper rise of inflation in rural areas." In particular, as Bhanumurthy says, two-thirds of India's population is part of the unorganised sector where salaries are not indexed to inflation. "So, that will eat away their household budgets and erode their real wages." **BT**

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